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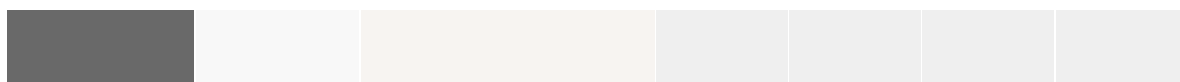
FX

G10 FX Talking: Dollar upside looks limited

The dollar has been performing well on the view that the Fed will tighten. ING's take is that the Fed will ultimately ride out this inflation spike and keep rates unchanged heading into 2027. That said, it may take until September before the market is fully disabused of its current views. Altogether, that means the dollar's upside looks limited from here



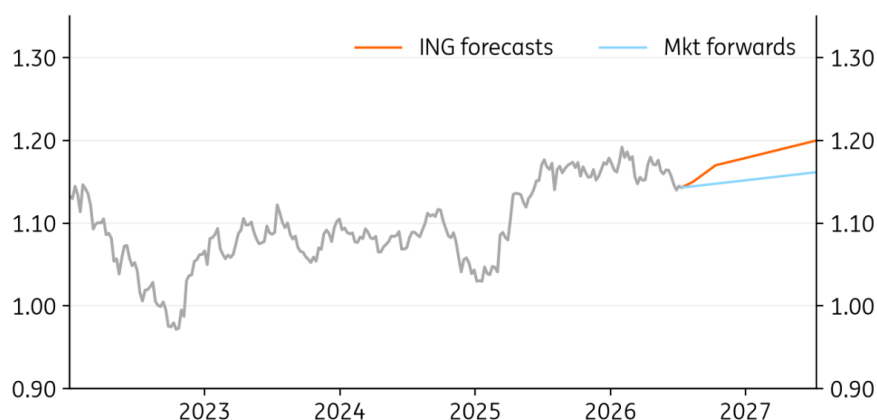
Dollar upside looks limited if the Fed stays on hold



EUR/USD: Dollar enjoys a world of low forward guidance

	Spot	One month bias	1M	3M	6M	12M
EUR/USD	1.1437	Mildly Bullish 	1.15	1.17	1.18	1.20

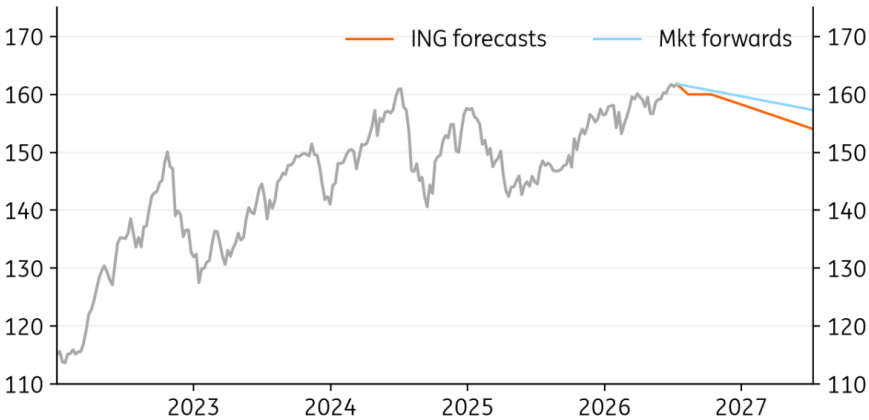
- The dollar is largely holding onto the 3% gains made over the last two months. Those gains have been built on the few words we have heard from the Federal Reserve, which have largely focused on the commitment to price stability. In the absence of forward guidance, US data is going to have a bigger say in FX. ING's core call is that the data will not support a Fed hike this year. Unchanged Fed policy, particularly at the September FOMC meeting, can see EUR/USD trading back to 1.17.
- At the same time, we currently favour a follow-up hike by the European Central Bank in September – a hike which will see dollar hedging costs fall further.
- Low hedge ratios on US assets leave the dollar exposed into the policy uncertainty around the November US midterm elections.



USD/JPY: Intervention watch continues this summer

	Spot	One month bias	1M	3M	6M	12M
USD/JPY	162.14	Mildly Bearish ↘	160.00	160.00	158.00	154.00

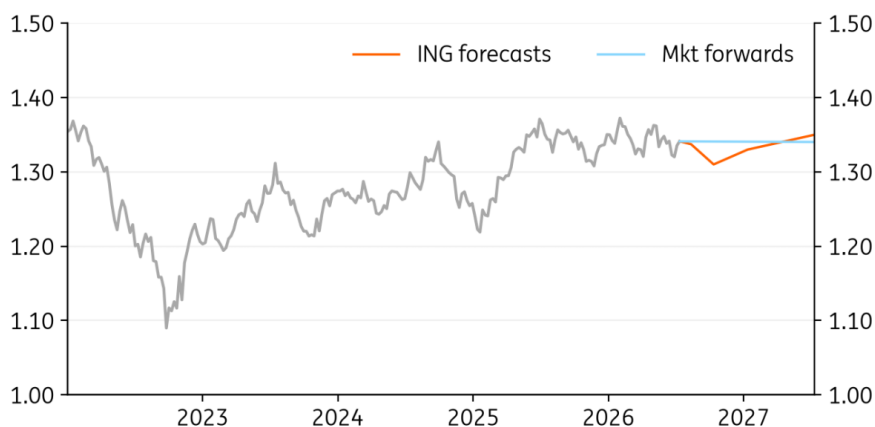
- It is not clear that the Bank of Japan has undertaken any further intervention since the \$70bn sold in late April/early May. There is a chance that we do see more in the 16-20 July window – around Japan’s Marine Day public holiday. Intervention can only slow the move, however. A reversal will not be seen until either the BoJ hikes aggressively or the Fed turns more dovish.
- Markets suspect that the government is leaning on the BoJ not to hike too quickly. The market is struggling to price in one further rate hike this year – which would take the policy rate to 1.25%.
- There could be a brief window to 164/165 this summer, but by year-end, and based on our Fed call, USD/JPY should be sub-160.



GBP/USD: Steady Fed & BoE to keep cable in check

	Spot	One month bias	1M	3M	6M	12M
GBP/USD	1.3399	Neutral	1.34	1.31	1.33	1.35

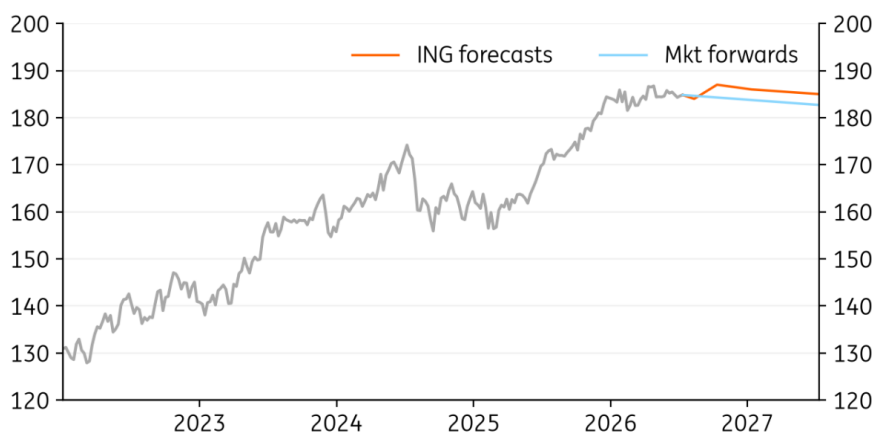
- Markets continue to price 40-45bp tightening cycles for both the Fed and the Bank of England over the next six to nine months. Our call is that neither of them will deliver on those hikes, which means that GBP/USD can probably continue trading in the middle of its 1.32-1.36 range. If anything, we see greater downside risks in the near term, with the Fed likely to remain hawkish for another month or two and UK political risks returning to the fore in late July.
- Andy Burnham is widely expected to become the new PM on 20 July and will probably announce Ed Miliband as his new Chancellor shortly thereafter. Miliband looks £-negative.
- Expect a 7-2 vote for unchanged rates at the 30 July BoE meeting.



EUR/JPY: Glued to 185

	Spot	One month bias	1M	3M	6M	12M
EUR/JPY	185.4400	Neutral	184.00	187.00	186.00	185.00

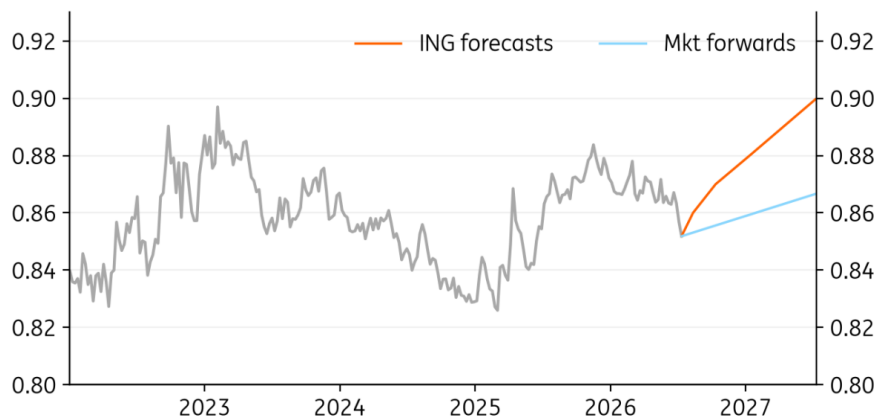
- EUR/JPY has stabilised near 185 – helped in part by range-bound equity markets. Tech valuations remain a hot talking point – especially the [drop in free cash flow metrics](#) – but there are no clear signs that a reversal is imminent. In general, if we return to a more benign environment of softer energy prices and no further Fed tightening, EUR/JPY should retain a modest upward bias.
- On the ECB side, we narrowly think another hike will be seen in September. This is contingent on core inflation staying high this summer and government energy subsidies being removed.
- The yen is undoubtedly very cheap on many longer-term valuation metrics – but we cannot see a catalyst for a reversal.



EUR/GBP: Lowest levels in a year

	Spot	One month bias	1M	3M	6M	12M
EUR/GBP	0.8456	Mildly Bullish 	0.86	0.87	0.88	0.90

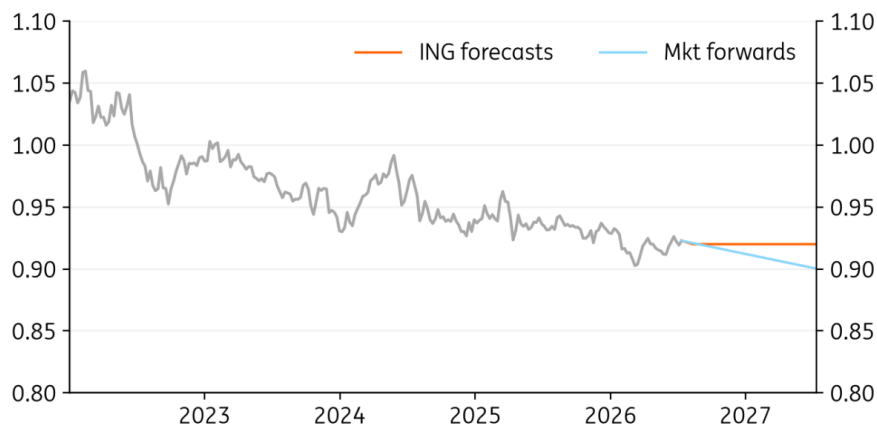
- EUR/GBP has broken to the downside of a tight trading range and is now trading at its lowest levels in a year. Sterling's gains appear to be driven by a low-volatility environment that favours the UK's relatively high interest rates, plus the unwinding of some short GBP positioning.
- Where to from here? We very much doubt the BoE will deliver on any of the BoE tightening priced in by the market. And we doubt there will be a bullish re-assessment of UK growth prospects once Andy Burnham takes charge. Here, he will have to raise taxes if he wants to increase social spending.
- We would not chase EUR/GBP lower below 0.85 and still see a reasonable case that EUR/GBP ends the year near 0.87/88.



EUR/CHF: FX intervention picks up

	Spot	One month bias	1M	3M	6M	12M
EUR/CHF	0.9244	Neutral	0.92	0.92	0.92	0.92

- In late June, the Swiss National Bank confirmed it had bought CHF3.9bn in FX in 1Q. This was when EUR/CHF briefly traded sub-0.90 on the outbreak of the Middle East conflict. The amount is relatively small, however, when compared to 2020 activity.
- EUR/CHF remains a positive beta on the global rates story. As the SNB looks likely to keep the policy rate at zero for a good while yet, EUR/CHF is being dragged round by prospects of ECB rate hikes. Yet the ECB tightening cycle looks over-priced (we see just one more hike) and we see EUR/CHF upside as limited.
- Last month, we said the CHF was being offered as the dollar debasement trade unwound. How USD/CHF trades at 0.80 is key.



EUR/SEK: Markets still too hawkish on the Riksbank

	Spot	One month bias	1M	3M	6M	12M
EUR/SEK	11.0400	Neutral	11.05	10.90	10.80	10.60

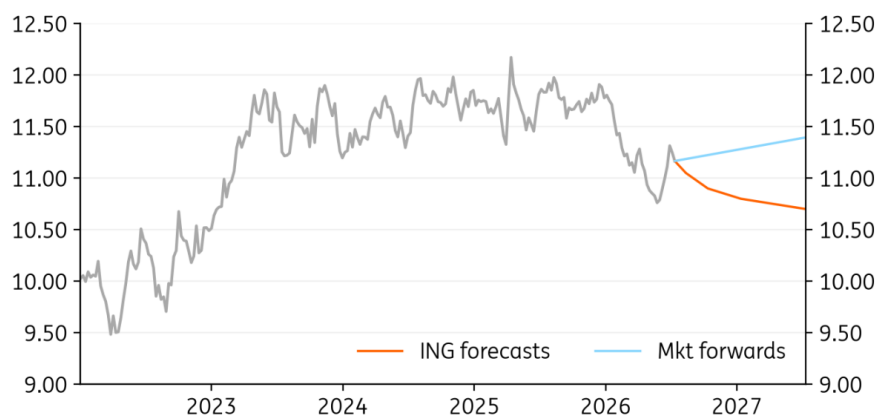
- We expect EUR/SEK to stay just above 11.00 for most of 3Q, primarily on the back of our call for a September ECB hike.
- Markets are pricing in 20bp of Riksbank tightening this year, but we expect the first move in 1Q27 as the inflation outlook remains muted. Hawkish risks would increase with a Middle East re-escalation, but a hike may still only happen after the September election, which we don't expect to have any FX impact.
- We still see some downside potential for EUR/SEK from September onwards. A dovish repricing in Fed expectations and lower US dollar should benefit the krona more than the euro. Still, tighter rate differentials mean a shallower profile than pre-war.



EUR/NOK: Krone has room to rally

	Spot	One month bias	1M	3M	6M	12M
EUR/NOK	11.1700	Bearish 	11.05	10.90	10.80	10.70

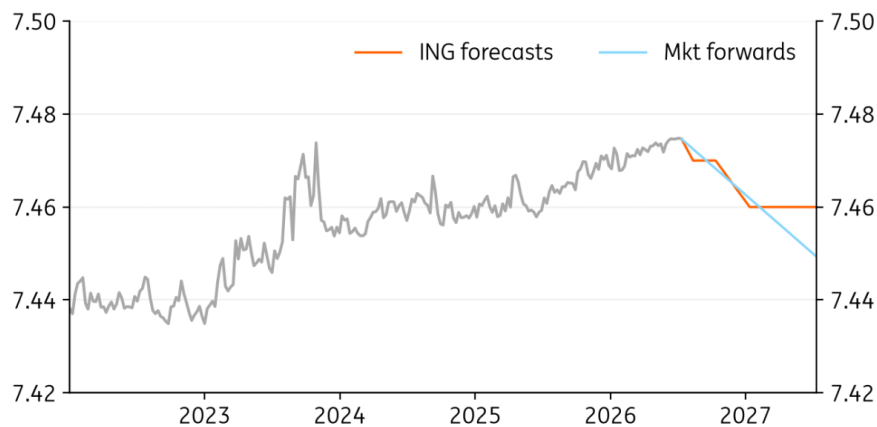
- We have greater conviction in a bearish EUR/NOK call than in a bearish EUR/SEK call. We think oil prices face short-term upside risks regardless of fresh US-Iran tensions, and our call for dovish Fed repricing should help the krone by improving overall FX liquidity.
- Support for the krone should also come from an improvement in its already attractive implied yield. We expect another Norges Bank hike to 4.50%, either in August (our baseline) or September. That should be the end of the cycle though.
- With limited downside room for oil, the main downside risks for NOK stem from another hawkish repricing in Fed rate expectations, and/or fresh stock market jitters.



EUR/DKK: Back to intervention

	Spot	One month bias	1M	3M	6M	12M
EUR/DKK	7.4751	Neutral	7.47	7.47	7.46	7.46

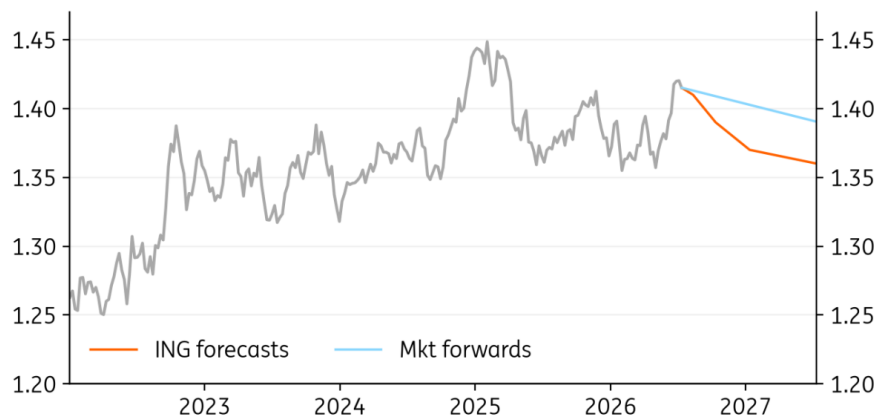
- The Danish central bank (DN) bought DKK 0.75bn (c.USD 115m) in June to defend the currency. This is the first intervention since January 2023, but not entirely surprising timing-wise.
- DN had the option to hike more than the ECB on 11 June to tighten the rate gap, and instead decided to follow the usual intervention-first approach.
- The size of this intervention is very small and could suggest this is the start of a campaign. Denmark's ample FX reserves offer plenty of intervention firepower, we are tempted to think DN will deliver a larger hike than the ECB in September. We expect a return to 7.460 by year-end.



USD/CAD: Loonie recovery should be slow

	Spot	One month bias	1M	3M	6M	12M
USD/CAD	1.4138	Neutral	1.41	1.39	1.37	1.36

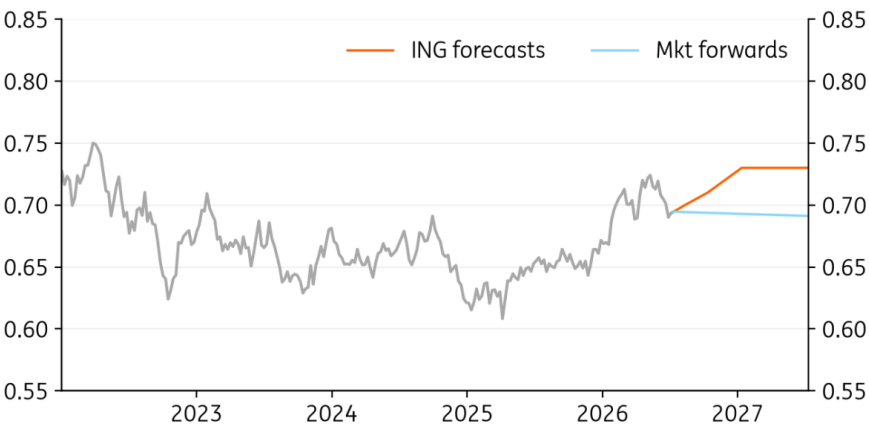
- Canadian unemployment declined for a second consecutive month in June, thanks to a rebound in hiring. But inflation will probably fall back below the 3% target upper bound in June, and we don't expect a large enough pick up in the core rate to justify a rate hike this year, unless energy prices spike higher.
- While the Canadian dollar could enjoy some support from a bottoming out in oil prices, its carry appeal remains low. The BoC may keep its options open in July, but markets won't be easily convinced to push expectations aggressively higher from the current 17bp by year-end.
- USMCA headlines can quickly emerge as a drag for the loonie.



AUD/USD: Waiting on a sustainable rally

	Spot	One month bias	1M	3M	6M	12M
AUD/USD	0.6940	Mildly Bullish 	0.70	0.71	0.73	0.73

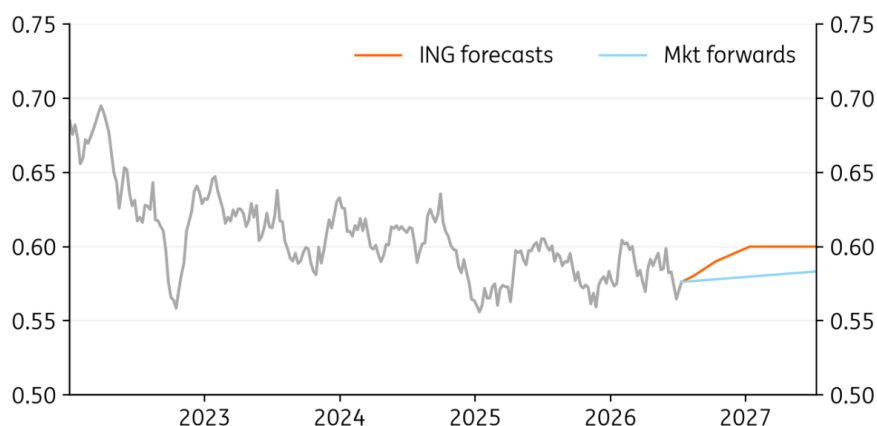
- The more cautious tone by the Reserve Bank of Australia on further tightening has kept hawkish expectations in check: only 13bp is priced by December. We expect a prolonged hold, but the RBA has previously shown it can react swiftly to upside surprises in inflation.
- We expect a structural return above 0.70 in AUD in the coming months. Carry is attractive, terms of trades have improved, and some dovish Fed repricing could offer the right external setting.
- CFTC data shows speculative positioning on AUD has flipped negative in June for the first time since January. The Aussie had likely suffered from profit-taking in crowded longs, but now looks more capable of forming a sustainable uptrend.



NZD/USD: Riding the rate hike enthusiasm

	Spot	One month bias	1M	3M	6M	12M
NZD/USD	0.5779	Mildly Bullish 	0.58	0.59	0.60	0.60

- The Reserve Bank of New Zealand hiked rates in July and is signalling another move in coming meetings. We suspect that this hawkish tone was more aimed at preserving market hawkishness than out of strong conviction.
- Two of the six policy committee members may not be on board with this hawkish shift, and 50bp of tightening in the curve by December looks a bit too aggressive. Our call is another hike in September or October, followed by a pause into 2027.
- Short term momentum looks good for NZD, but we could see a slowdown in the rally on some dovish reassessment of expectations. We expect AUD to outperform NZD in 4Q.



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